India Ratings & Research
A Fitch Group Company

India Ratings Upgrades Sedemac Mechatronics's Bank Facilities to 'IND A-'/Stable; Rates Additional Bank Loans

Jun 27, 2025 | Auto Components & Equipments

India Ratings and Research (Ind-Ra) has upgraded Sedemac Mechatronics Limited's (SML; formerly Sedemac Mechatronics Private Limited) bank facilities to 'IND A-' from 'IND BBB+'. The Outlook is Stable. The instrument-wise rating actions are as follows:

Details of Instruments

Instrument Type	Date of Issuance	Coupon Rate	Maturity Date	Size of Issue (million)	Rating Assigned along with Outlook/Watch	Rating Action
Fund-based working capital limit	-	-	-	INR640	IND A-/Stable/IND A1	Upgraded
Term loan	-	-	12 February 2031	INR340.90 (reduced from INR549.1)	IND A-/Stable	Upgraded
Term loan	-	-	30 March 2030	INR150	IND A-/Stable	Assigned

Analytical Approach

Ind-Ra continues to take a standalone view of SML to arrive at the ratings.

Detailed Rationale of the Rating Action

The upgrade reflects the sustenance of an improvement in SML's scale of operations on account of receipt of a higher number of orders from new customers and steady demand from its existing customers. The company's revenue profile also benefits from the addition of new products annually. The upgrade also factors in an improvement in the credit metrics in FY25, which Ind-Ra expects will remain strong in the medium-to-long term with healthy cash accruals and a limited reliance on debt for funding capex plans. However, the ratings are constrained by product and customer concentration risk, and technological obsolescence risk.

List of Key Rating Drivers

Strengths

- Strong business profile; innovative technology with patented products and limited competition
- Improvement in scale of operations with healthy order flow from existing and new customers; double-digit revenue growth likely in FY26
- Sustained improvement in EBITDA margin in FY25, although likely to remain at similar levels in near-to-medium term
- Sustained strong credit metrics

Weaknesses

- Customer and product concentration risk

- Continuous investments in capex, research and development (R&D) and future expansion plans
- Technology obsolescence risk

Detailed Description of Key Rating Drivers

Strong Business Profile; Innovative Technology with Patented Products and Limited Competition: SML manufactures sensorless motor controllers for powertrain engines of two wheelers (2Ws) and three wheelers (3Ws), which is a unique and patented technology of the company. Its principal product, integrated starter generator (ISG), is a replacement of traditional motor generators used in 2Ws, which used to comprise of multiple components and used sensors to start the engines. Furthermore, the company launched similar products for e-2W/3W. With the product innovation, SML's sensorless technology enables a high demand for the product while maintaining healthy gross margins. The company is developing various new products including motor controllers with sensorless technology for various other applications. The management believes these products could become a major revenue source if the company is able to successfully launch them in the market. The company's products face some competition from traditional motor controller; however, the company has been able to successfully capture market for its products.

Improvement in Scale of Operations with Healthy Order Flow from Existing and New Customers; Double-Digit Revenue Growth Likely in FY26: SML derives most of its revenue from the sale of its principal products, which are used in 2W and 3W engines. The company's revenue grew at a CAGR of 23.60% to INR6,557 million over FY22-FY25 (FY24: INR5,306.53 million, FY23: INR4,230.80 million, FY22: INR2,832.70 million), majorly led by a 23.7% yoy increase in sales volume for its core products to 2.35 million units (FY24: 1.90 million units, FY23: 1.43 million units). The increase in sales volume was on account of higher demand by its key customer, a leading automobile original equipment manufacturer, and was supported by demand from the new customers onboarded by the company in FY24 and launch of new EV product.

The growth in 2W sales shall be supported by the moderation in inflation that has resulted in higher disposable income, leading to an uptick in rural demand. The agency expects revenue growth to continue in the near-to-medium term on account of increasing demand of SML's existing products from the existing and new customers. The revenue growth will also be aided by demand for newly launched products for e-2W and e-3W segments, as the demand for electric vehicles pick up in the medium term.

Sustained Improvement in EBITDA Margin in FY25; Although Likely to Remain at Similar Levels in Near-to-medium Term: The EBITDA margins continued to improve to 18.46% in FY25 (FY24: 13.96%, FY23: 10.32%, FY22: 9.35%) on account of lower input cost with the easing of commodity cost pressures and improved scale of operations. The absolute EBITDA increased to INR1,210.73 million in FY25 (FY24: INR721 million, FY23: INR428 million, FY22: INR294.70 million) because of an improvement in the product design, which resulted in lower raw material consumption and an increase in volumes, thus resulting in better absorption of overheads cost. The EBITDA margins were healthy with a return on capital employed of 26.7% in FY25 (FY24: 17.7%, FY23: 8%). However, the agency expects the margins to remain at similar levels in the near-to-medium term, due to lesser fluctuations in input cost, no incremental increase in R&D cost and some added fixed cost of operations after capacity expansion.

Sustained Strong Credit Metrics: The credit metrics improved significantly with the gross coverage (operating EBITDA/gross interest expense) improving to 11.46x in FY25 (FY24: 6.30x, FY23: 4.75x) and the net leverage (adjusted net debt/operating EBITDA) to 0.40x (1.26x, 1.80x), owing to the increase in absolute EBITDA and a reduction in debt. The company partially repaid term loans from funds received from investors. The agency expects the credit metrics to remain strong in the near-to-medium with limited debt exposure as the future capex is funded through equity infusion and internal accruals, as well as a further improvement in the absolute EBITDA with the increase in scale of operations.

Customer and Product Concentration Risk: SML's revenue profile is constrained on account of high customer concentration as it derives more than 80% of its income from sales to a single customer, which is a leading automobile original equipment manufacturer, and the balance from few key customers. The high customer concentration makes the company's revenue growth and profitability dependent on its key customers' future growth plans. The company mitigates this risk to some extent by onboarding new customers each year, however, the contribution of new customers in SML's

revenue has been limited. Furthermore, it derives around 78% of the revenue from its two key product segment ranges mainly ISG and Gensets. Thus, the company's ability to diversify its customer base, and its revenue stream remains critical. To address this, SML has taken positive steps by expanding its product segments into EV 2W/3W and onboarding one of the leading automobile original equipment manufacturers who is a direct competitor of its key single-largest customer.

Continuous Investments in Capex and R&D and Future Expansion Plans: The company has a track record of investing in fixed assets and has been continuous expanding for meeting customer demands. In FY25, the company undertook capex of around INR800 million towards the addition of tangible and intangible assets. Furthermore, for its new leased facility in Chakan, Pune, the company is estimated to incur additional capex for around INR600 million. The capex is likely to be completed by October 2025. Furthermore, the company has been investing in R&D from internal accruals of around INR500 million each year, limiting the availability of free cash flow despite the increase in absolute EBITDA. SML already has a leased facility in Chakan, Pune and another small unit in Pune for manufacturing of some automobile products such as flasher and other allied products, which have high volumes but limited revenue contribution.

Technology Obsolescence Risk: The company's nature of operation makes it susceptible to inherent risk of technological obsolescence. The company, however, mitigates this risk to some extent by constant investment in R&D and continuous product development and innovation.

Liquidity

Adequate: The company's current ratio remained modest while slightly improving to 1.51x in FY25 (FY24: 1.15x, FY23: 1.11x). The average maximum utilisation of the fund-based facilities was 48.30% for the 12 months ended March 2025. The working capital cycle elongated to 85 days in FY25 (FY24: 76 days, FY23: 58 days), due to increasing debtor period of 26 days (19 days, 13 days). The cash flow from operations improved to INR639.70 million in FY25 (FY24: INR483 million, FY23: INR650.82 million), due to favourable changes in working capital. The free cash flow turned negative to INR160.30 million in FY25 (FY24: INR99.91 million, FY23: INR74.77 million) due to the capex. The cash and cash equivalents stood at INR9.44 million at FYE25 (FYE24: INR35.11 million, FYE23: INR32.34 million). The company has repayment obligations of around INR101.8 million, each, in FY26 and FY27, which will be met through internal accruals. SML does not have any capital market exposure and relies on banks and financial institutions to meet its funding requirements.

Rating Sensitivities

Positive: A substantial improvement in the scale of operations with customer addition and diversification in customer profile resulting in a reduction in revenue concentration while maintaining the profitability and liquidity will be positive for the ratings.

Negative: Substantial deterioration in the scale of operations or profitability or liquidity or the net leverage exceeding 3.0x, on sustained basis will be negative for the ratings.

Any Other Information

Not applicable

About the Company

Incorporated in July 2007, SML manufactures controllers for powertrain engines and genset controllers. It was founded by Shashikanth Suryanarayanan, Amit Dixit and Manish Sharma. The company has an installed capacity of 40,00,000 units. It has two plants - one in Chakan and the other in Dhayari, Pune. The company's corporate office and R&D centre are located in Baner, Pune.

Key Financial Indicators

Particulars	FY25 (Provisional)	FY24
Revenue (INR million)	6,557.33	5,294.16
EBITDAR (INR million)	1,210.73	729.95
EBITDAR margin (%)	18.46	13.79
Gross interest coverage (x)	11.46	6.3
Net leverage (x)	0.40	1.26
Source: SML; Ind-Ra		

Status of Non-Cooperation with previous rating agency

Not applicable

Rating History

Instrument Type	Rating Type	Rated Limits (million)	Current Rating/Outlook	Historical Rating/Outlook		
				30 July 2024	22 September 2023	8 June 2023
Issuer rating	Long-term	-	-	-	WD	IND BBB/Positive
Fund-based working capital limit	Long-term/Short-term	INR640	IND A-/Stable/IND A1	IND BBB+/Positive/IND A2+	-	IND BBB/Positive/IND A2
Term loan	Long-term	INR490.9	IND A-/Stable	IND BBB+/Positive	-	IND BBB/Positive

Bank wise Facilities Details

The details are as reported by the issuer as on (27 Jun 2025)

#	Bank Name	Instrument Description	Rated Amount (INR million)	Rating
1	HDFC Limited	Fund Based Working Capital Limit	80	IND A-/Stable/IND A1
2	HDFC Limited	Term Loan	85.8	IND A-/Stable
3	Bajaj Finance	Fund Based Working Capital Limit	150	IND A-/Stable/IND A1
4	ICICI Bank	Fund Based Working Capital Limit	150	IND A-/Stable/IND A1
5	IndusInd Bank Limited	Fund Based Working Capital Limit	160	IND A-/Stable/IND A1
6	Yes Bank Ltd	Term Loan	110.1	IND A-/Stable
7	EXIM Bank	Term Loan	145	IND A-/Stable
8	Yes Bank Ltd	Fund Based Working Capital Limit	100	IND A-/Stable/IND A1
9	Citibank N.A.	Term loan	150	IND A-/Stable

Complexity Level of the Instruments

Instrument Type	Complexity Indicator
Fund-based working capital limit	Low
Term loan	Low

For details on the complexity level of the instruments, please visit https://www.indiaratings.co.in/complexity- indicators.

Contact

Primary Analyst
Shivam Ajmera
Senior Research Associate
India Ratings and Research Pvt Ltd
Wockhardt Towers, 4th Floor, West Wing, Bandra Kurla Complex, Bandra East,Mumbai - 400051
+91 22 40001723
For queries, please contact: infogrp@indiaratings.co.in

Secondary Analyst
Nikhil Joshi
Senior Analyst
02240356155

Media Relation
Ameya Bodkhe
Marketing Manager
+91 22 40356121

About India Ratings and Research: India Ratings and Research (Ind-Ra) is committed to providing India's credit markets accurate, timely and prospective credit opinions. Built on a foundation of independent thinking, rigorous analytics, and an open and balanced approach towards credit research, Ind-Ra has grown rapidly during the past decade, gaining significant market presence in India's fixed income market.

Ind-Ra currently maintains coverage of corporate issuers, financial institutions (including banks and insurance companies), finance and leasing companies, managed funds, urban local bodies and project finance companies.

Headquartered in Mumbai, Ind-Ra has seven branch offices located in Ahmedabad, Bengaluru, Chennai, Delhi, Hyderabad, Kolkata and Pune. Ind-Ra is recognised by the Securities and Exchange Board of India, the Reserve Bank of India and National Housing Bank.

India Ratings is a 100% owned subsidiary of the Fitch Group.

For more information, visit www.indiaratings.co.in.

Solicitation Disclosures

Additional information is available at www.indiaratings.co.in. The ratings above were solicited by, or on behalf of, the issuer, and therefore, India Ratings has been compensated for the provision of the ratings.

Ratings are not a recommendation or suggestion, directly or indirectly, to you or any other person, to buy, sell, make or hold any investment, loan or security or to undertake any investment strategy with respect to any investment, loan or security or any issuer.

APPLICABLE CRITERIA AND POLICIES

Evaluating Corporate Governance

Corporate Rating Methodology

The Rating Process

Short-Term Ratings Criteria for Non-Financial Corporates

DISCLAIMER

All credit ratings assigned by india ratings are subject to certain limitations and disclaimers. Please read these limitations and disclaimers by following this link: https://www.indiaratings.co.in/rating-definitions. In addition, rating definitions and the terms of use of such ratings are available on the agency's public website www.indiaratings.co.in. Published ratings, criteria, and methodologies are available from this site at all times. India ratings' code of conduct, confidentiality, conflicts of interest, affiliate firewall, compliance, and other relevant policies and procedures are also available from the code of conduct section of this site.